

Yitong Wang

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Graduate Studies

Texas A&M University
Ph.D. in Economics

2022 – Present
Expected May 2027

Prior Education

University of International Business and Economics, Beijing, China
B.A. in Economics (Honors)

2018 – 2022

Working Papers

1. **“When Trade Policy Undermines Tax Compliance”** with Li Gan and Siyuan Zeng (2026).
This paper shows that pro-export policies can undermine tax compliance when VAT refunds are slow. Using China’s 2015 rebate adjustment, I find that firms who suffer from the excess input credit wedge lose export share to competitors and reduce their use of formal input invoices, contrary to the standard trade-formalization link.
2. **“Optimal Research Contracting with Observable Firm Characteristics.”** (2026). *Under Review*.
This paper shows that mechanisms based on observable firm characteristics (OFC) significantly improve the performance of NASA’s Small Business Innovation Research (SBIR) program. Empirically, I find that patent intensity and past SBIR success rates are strong positive predictors of research ability, yet they receive minimal weight in the current contract. Moreover, the optimal OFC mechanism captures 61% of potential government payoff gains—defined as the gap between the pooling benchmark and the first-best—compared to only 5% under the current contract. These improvements arise primarily from reallocating budget resources away from high-ability firms, which would participate regardless, and toward lower-ability firms with higher participation elasticities.
3. **“Should the Government Subsidize Firms or Households?”** with Li Gan and Yuzhe Zhang (2024).
Using IMF cross-country COVID-19 subsidy data, this paper studies the economic determinants of government subsidy allocation between households and firms. Three factors—government budget, income inequality, and the severity of COVID-19—are positively related to the ratio of household subsidies to firm subsidies.
4. **“The Optimal Inflation Rate.”** with Shenghao Zhu (2022).
This paper studies how the government optimally sets the inflation rate to balance its redistributive effects in a continuous-time Heterogeneous Agent New Keynesian (HANK) model with idiosyncratic income risks and asset heterogeneity. Using a perturbation method, we derive a formula for the optimal inflation rate expressed in sufficient statistics. The equilibrium wealth distribution features a generalized Pareto tail for the rich and a mass point at the lower boundary. After calibrating the wealth distribution with U.S. survey data, we solve that the optimal inflation rate is 5.2%.

Conferences and Seminars

2026 Texas A&M University Macro Mini Conference (poster)
2025 Texas A&M University Macro Mini Conference (poster), North Texas Economics Conference

Research Experience

Research Assistant for Prof. Li Gan (Texas A&M University) Summer 2023 & 2024
Research Assistant for Prof. Shenghao Zhu (UIBE) 2020 – 2021

Teaching

Texas A&M University

Instructor, ECON 410: Intermediate Macroeconomic Theory Summer 2025
Instructor, Macroeconomics Qualifier Camp (Ph.D.) Summer 2024
Instructor, Math Camp (Ph.D.) Summer 2023

Teaching Assistant (Graduate):

ECON 689: Special Topics—International Macroeconomics Spring 2026
ECMT 660: Mathematical Economics Fall 2025
ECON 636: Macroeconomic Theory I (Ph.D.) Fall 2023

Teaching Assistant (Undergraduate):

ECON 460: Introduction to Mathematical Economics Fall 2025
ECON 323: Microeconomic Theory Summer 2025, Fall 2025
ECMT 461: Economic Data Analysis Spring 2024, Spring 2025
ECON 311: Money & Banking Fall 2022, Fall 2024
ECON 459: Games & Economic Behavior Fall 2022
ECON 203: Principles of Economics Summer 2023, Summer 2024

University of International Business and Economics

Teaching Assistant, Advanced Macroeconomics (Undergraduate) Fall 2020

Honors, Awards, and Fellowships

Graduate Assistantship, Department of Economics, Texas A&M University 2022 – Present

Skills

Programming: Python, Stata, MATLAB, C++, $\text{\LaTeX}$

Languages: Chinese (native), English

Last updated: April 22, 2026